Pakistan Climate Finance
Commitments and allocation patterns
2000 to 2024

An analytical report on reported climate finance, funding concentration and the scale of adaptation finance

1. How much climate finance has been committed to Pakistan each year, and has it increased after adjusting for inflation?

Annual climate finance commitments increased from US$5.06 million in 2000 to US$2,290.33 million in 2024 at constant 2024 prices. The highest annual amount was US$2,407.00 million in 2020. After three consecutive annual declines, commitments recovered by 7.85% in 2024.

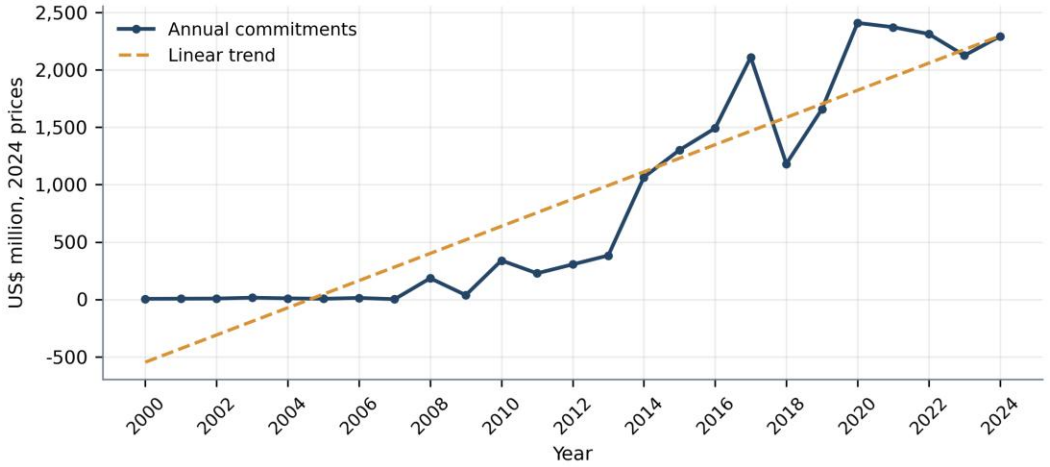


Figure 1. Annual climate finance commitments and fitted linear trend, 2000 to 2024.

2. How is Pakistan's climate finance divided between adaptation, mitigation and activities supporting both objectives?

Mitigation-only activities accounted for the largest share of recorded climate finance during 2010 to 2024. Adaptation-only activities received just over one-third, while a smaller category supported both objectives.

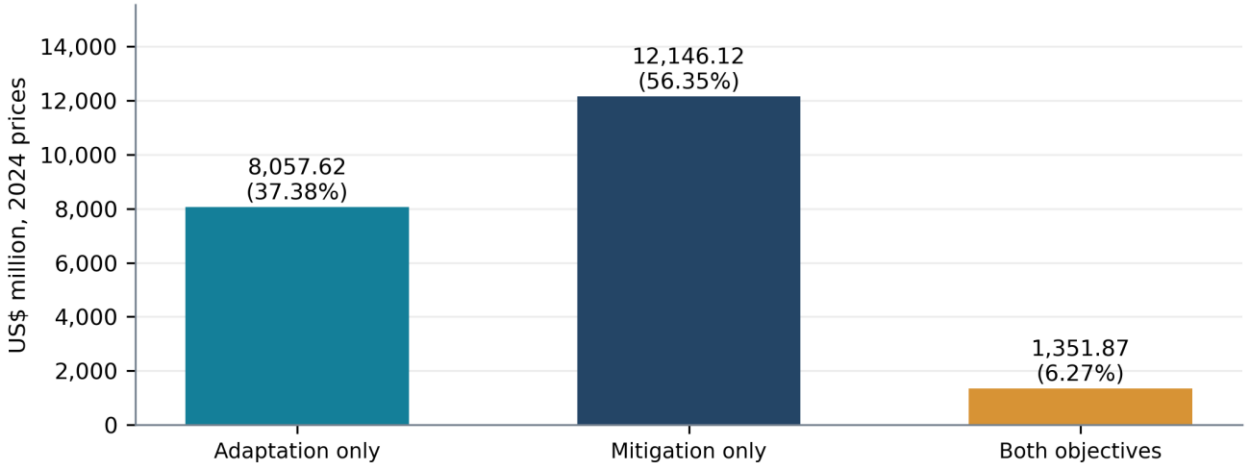


Figure 2. Mutually exclusive climate objectives, 2010 to 2024.

3. What proportion of climate finance comes through grants, loans, equity and other financial instruments?

Loans dominated commitment value over 2000 to 2024, accounting for 84.49% of finance. Grants supplied 14.77%. Equity and the remaining instrument categories together represented less than 1%.

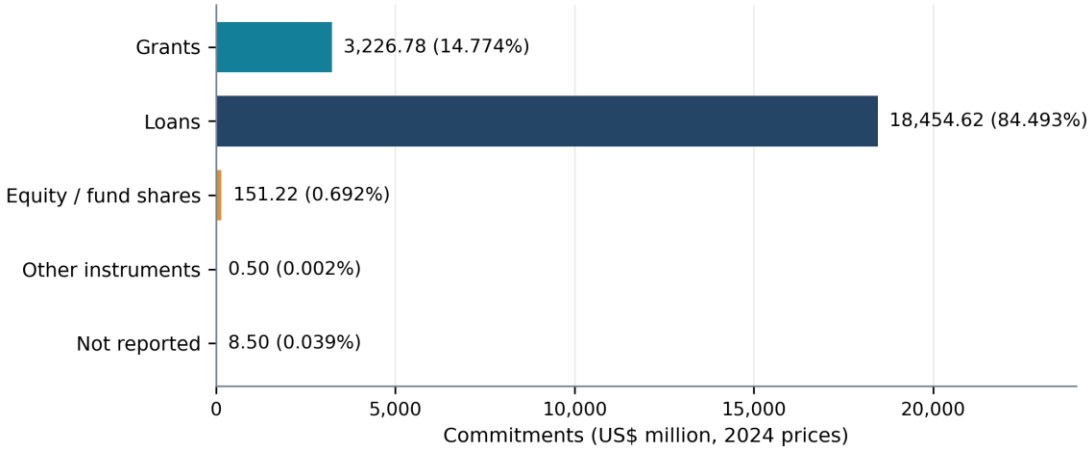


Figure 3. Financing instruments as a share of total climate finance, 2000 to 2024.

4. Who is Pakistan's largest climate finance providers, and how concentrated is funding among the top three or five providers?

The International Development Association (IDA), Asian Development Bank (ADB) and International Bank for Reconstruction and Development (IBRD) were the largest providers. Together they accounted for 64.76% of climate finance. Adding France and the Asian Infrastructure Investment Bank (AIIB) raises the share to 76.07%.

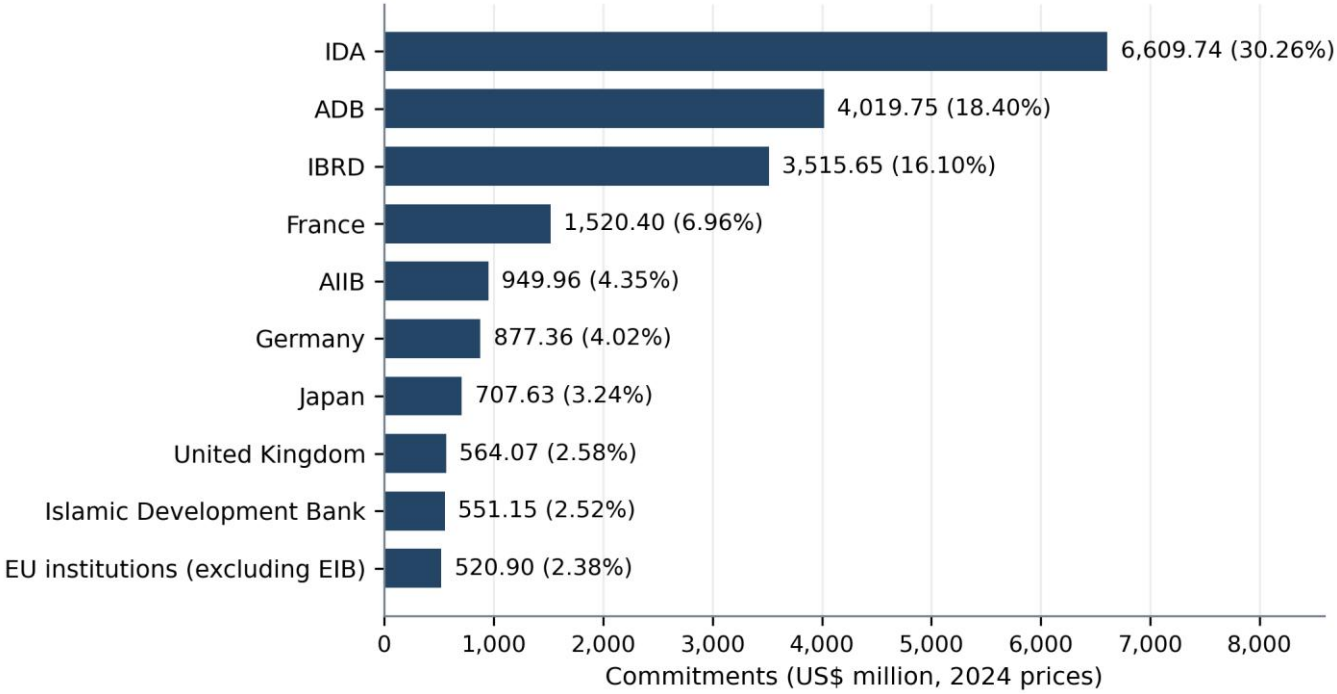


Figure 4. Ten largest providers and their shares of all commitments, 2000 to 2024.

5. How has the funding mix changed across development banks, government donors, other multilateral organisations and private donors?

The funding mix shifted from government donors in the early recorded years towards development banks after 2010. Development banks supplied 90.92% of finance in 2020 and 74.83% in 2024. Government donors accounted for 17.51% in 2024.

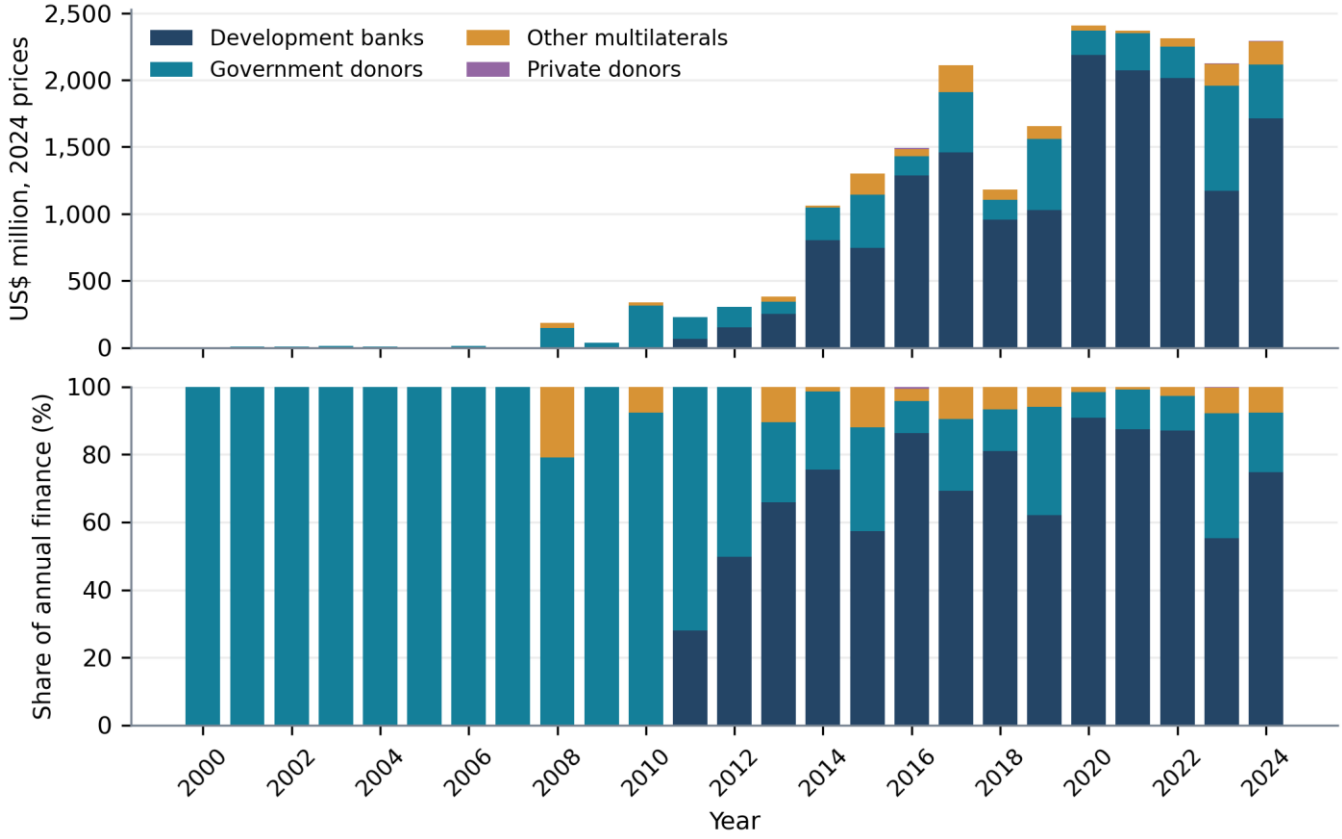


Figure 5. Annual commitment amounts and provider-group shares, 2000 to 2024.

6. Which sectors receive the largest amounts of climate finance, and how do allocations to energy, agriculture, water, health and disaster preparedness compare?

Energy received US$8,058.62 million, or 36.90% of total finance, making it the largest sector. Transport and storage ranked second at 10.97%, followed by agriculture, forestry and fishing at 10.54%.

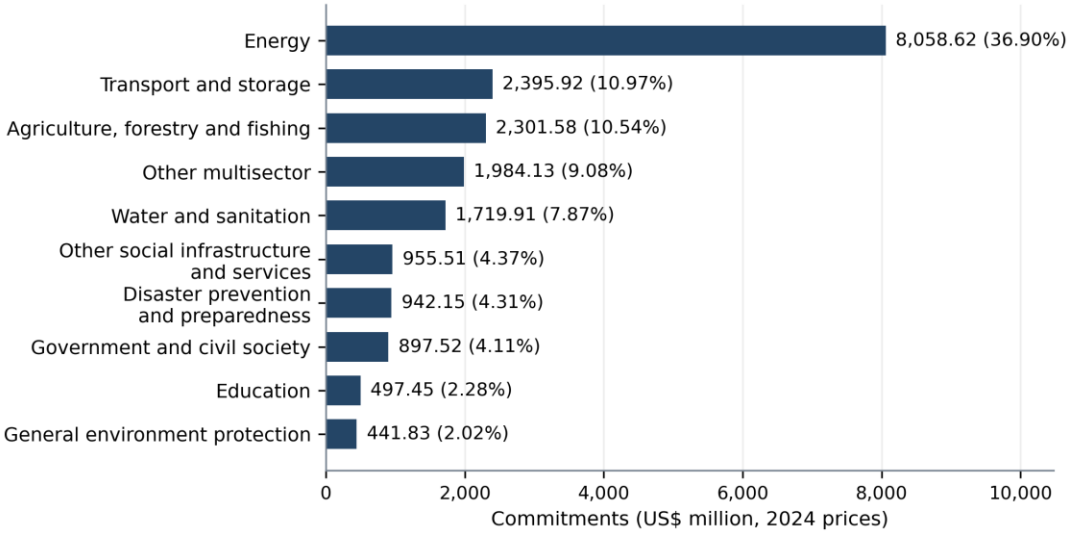


Figure 6. Ten largest sector allocations, 2000 to 2024. Labels show amount and portfolio share.

7. Which sectors rely most heavily on loan financing, and which receive the highest grant shares?

Transport and storage and energy, two large recipient sectors, had loan shares of 96.86% and 91.92%, respectively. Emergency response and development food assistance were fully grant financed in the recorded data, while grants supplied 62.56% of health finance.

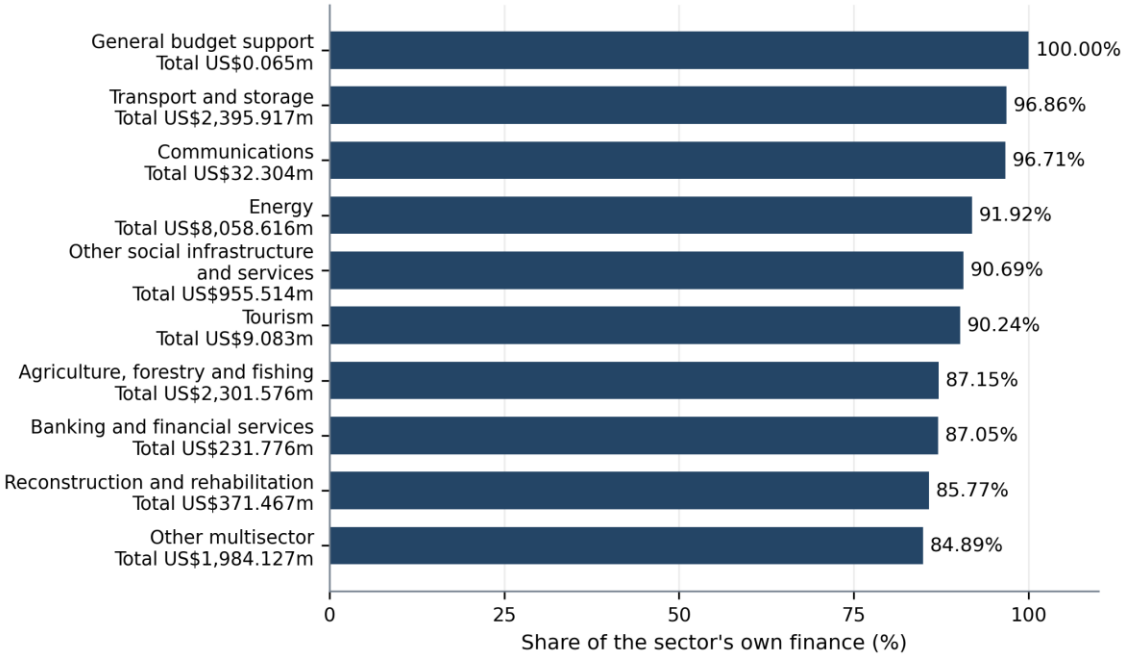


Figure 7a. Highest loan shares within sectors, 2000 to 2024. Each percentage uses its sector's own total.

Grant financing by sector

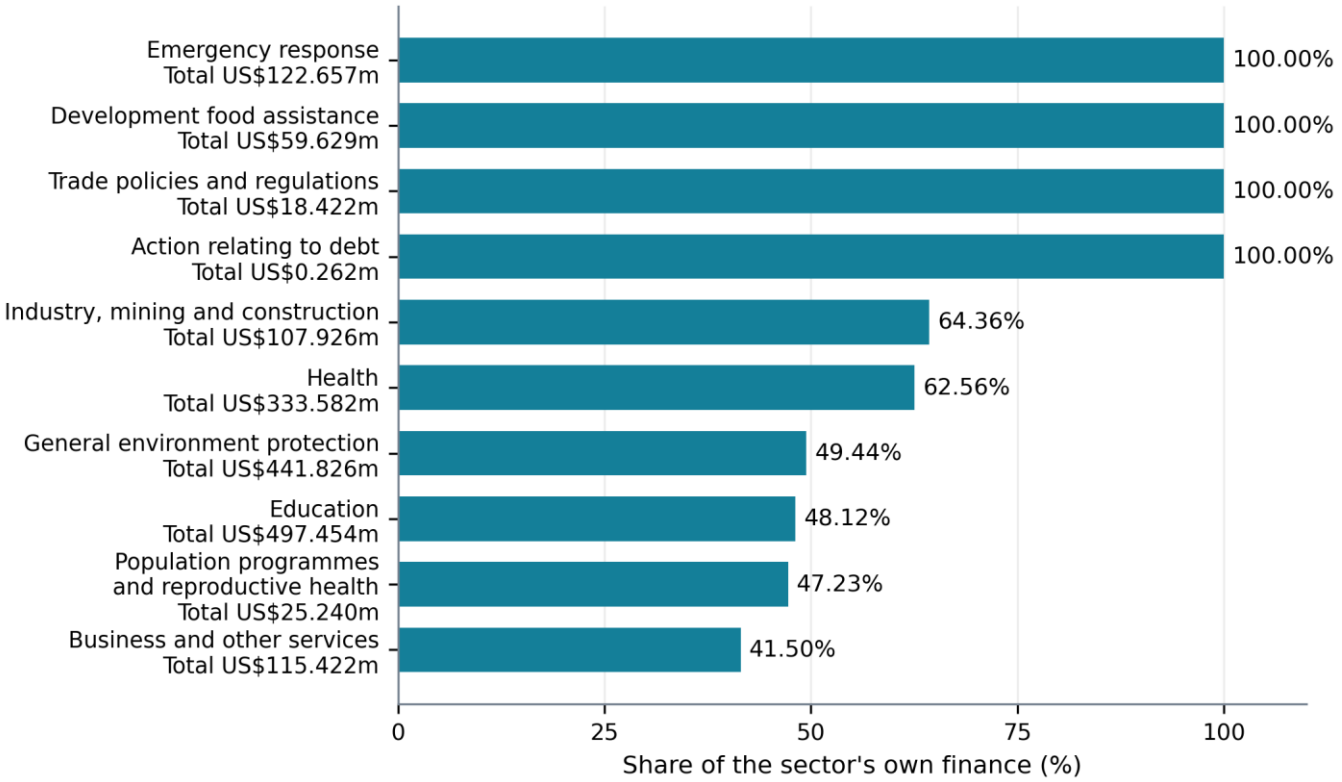


Figure 7b. Highest grant shares within sectors, 2000 to 2024. Totals show the amount of all instruments in each sector.

8. How does financing for disaster prevention and preparedness compare with financing for emergency response and reconstruction?

Disaster prevention and preparedness received US$942.15 million during 2010 to 2024. This was 65.60% of the combined commitments to the three disaster categories and about 1.91 times emergency response and reconstruction combined.

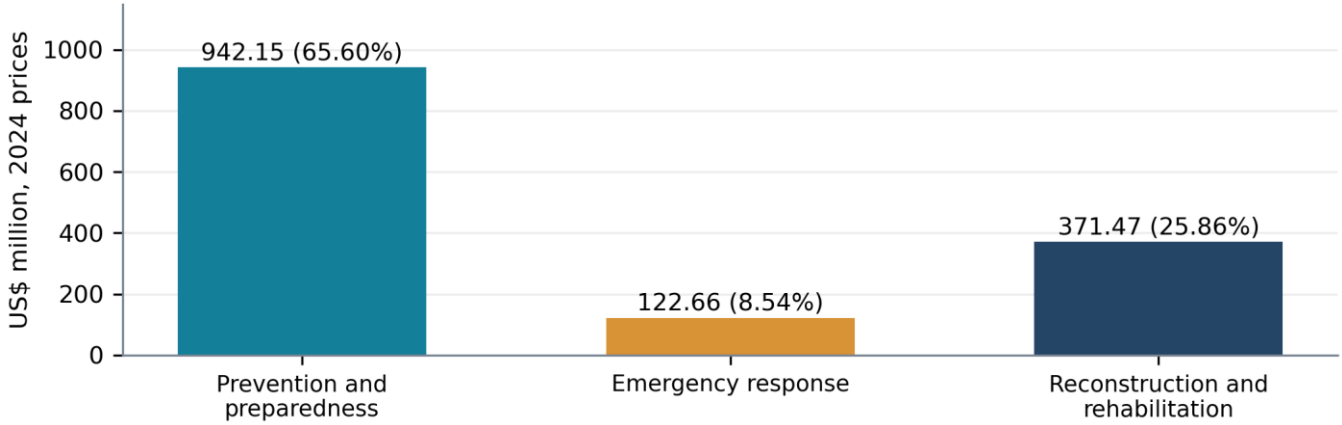


Figure 8a. Commitments to three disaster categories, 2010 to 2024. Shares use their combined total.

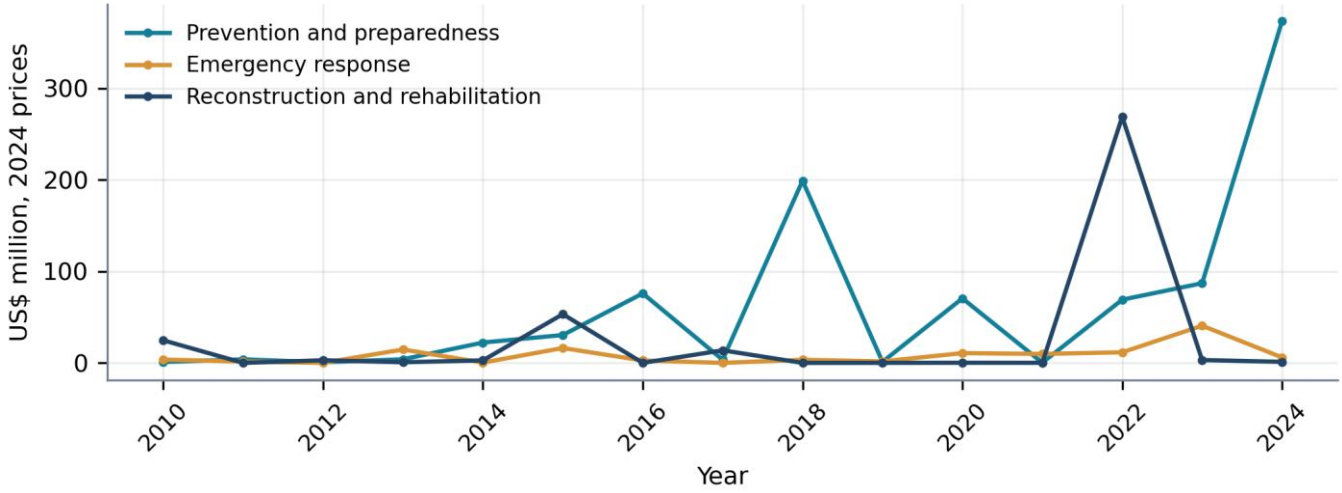


Figure 8b. Annual disaster-category commitments, 2010 to 2024.

9. Is climate finance concentrated in a few large financing records, or distributed across many smaller commitments?

Finance was highly concentrated in a small share of financing records. The largest 248 records, approximately 10% of the dataset, accounted for 85.97% of all commitment value. The largest 25 records alone accounted for 27.35%.

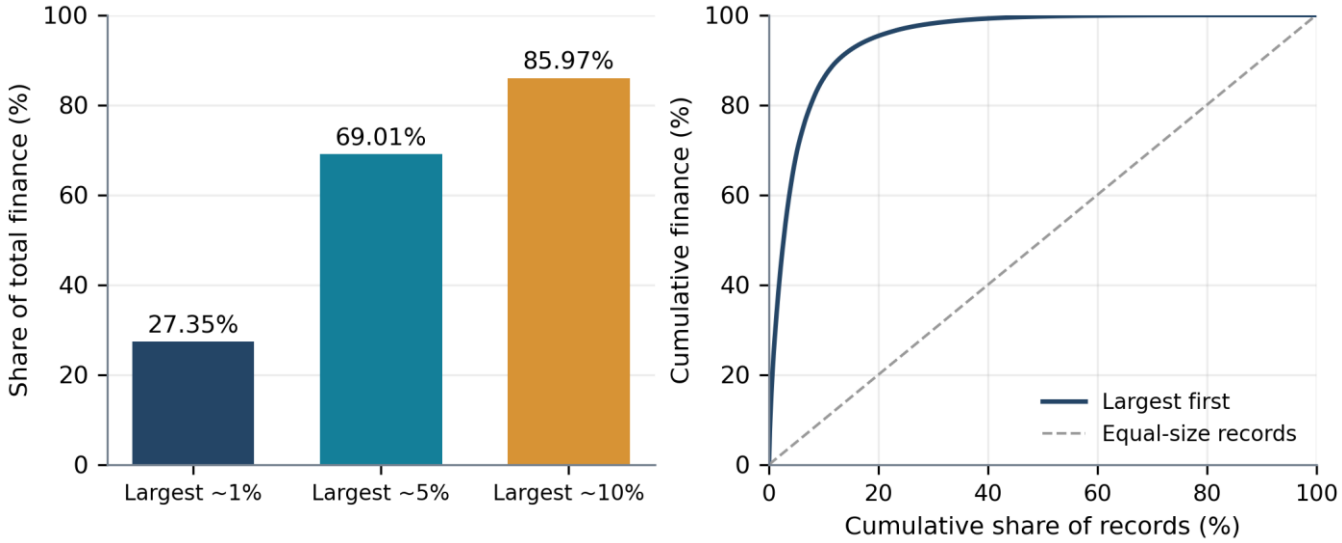


Figure 9. Funding captured by the largest records and cumulative accumulation from largest to smallest, 2000 to 2024.

10. How much do annual climate finance commitments fluctuate, and which providers and sectors account for the largest changes?

Annual commitments fluctuated substantially. The largest increase in absolute value occurred in 2020, when finance rose by US$750.36 million. The largest decrease occurred in 2018, when finance fell by US$927.98 million. Both changes were large relative to the preceding year.

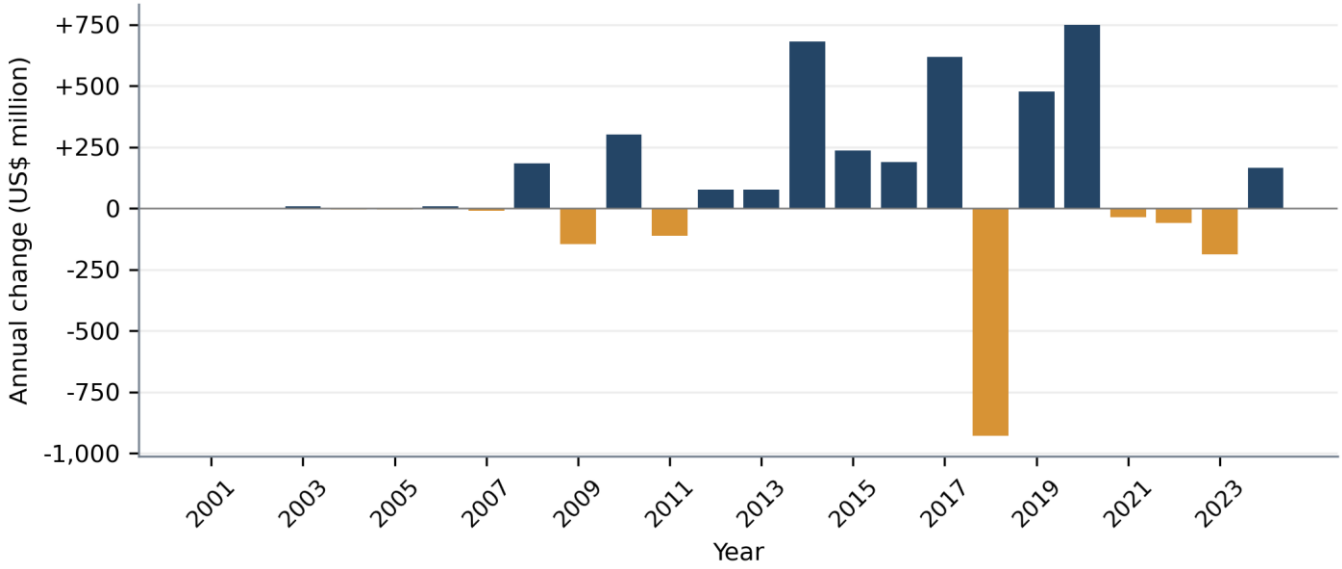


Figure 10a. Annual changes in recorded climate finance at 2024 prices, 2001 to 2024. Blue indicates an increase and orange a decrease.

Contributors to the increase in 2020

Commitments increased from US$1,656.64 million in 2019 to US$2,407.00 million in 2020, a rise of 45.29%. Higher commitments from IBRD and IDA were the largest positive provider contributions.

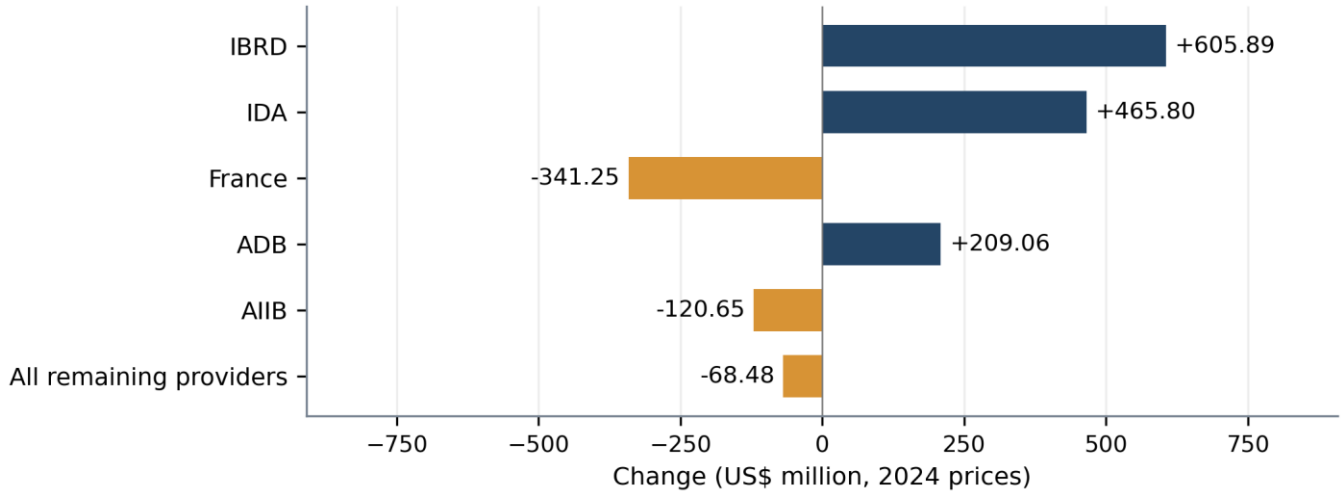


Figure 10b. Provider contributions to the 2020 increase relative to 2019.

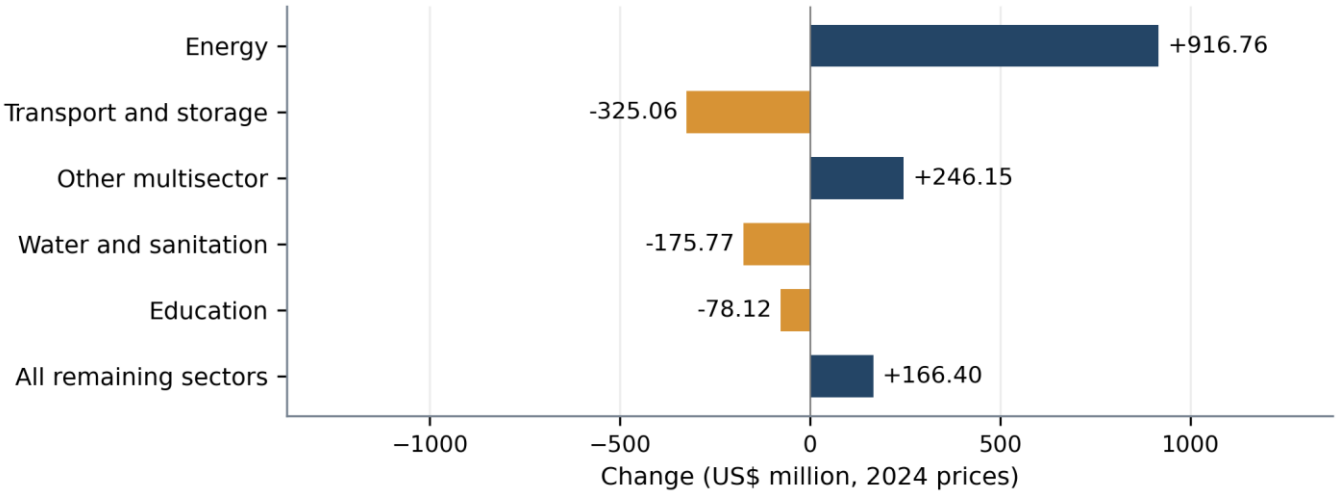


Figure 10c. Sector contributions to the same 2020 increase.

Contributors to the decrease in 2018

Commitments declined from US$2,108.35 million in 2017 to US$1,180.38 million in 2018, a decrease of 44.01%. Lower ADB, IBRD and France commitments outweighed a large increase from IDA.

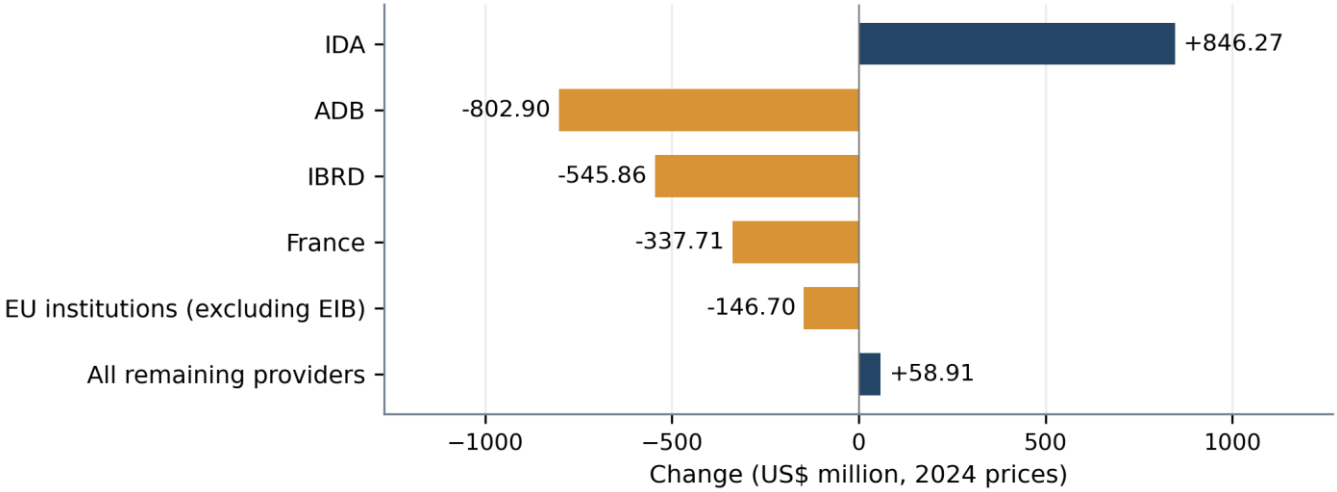


Figure 10d. Provider contributions to the 2018 decrease relative to 2017.

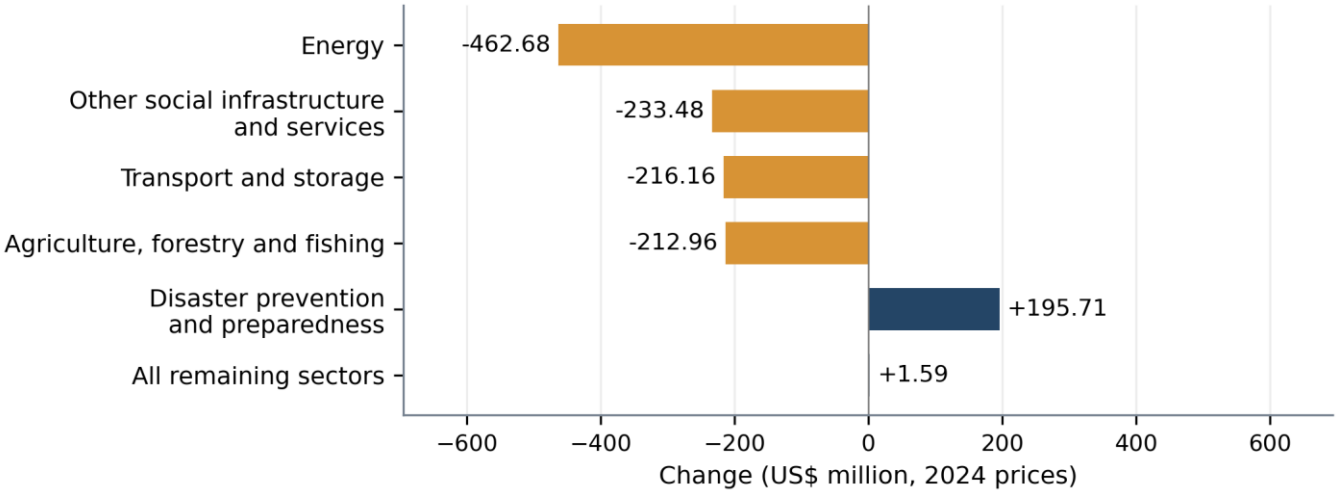


Figure 10e. Sector contributions to the same 2018 decrease.

11. How much recorded climate finance is associated with activities marked as supporting gender equality, and which sectors contain these activities?

Activities marked with gender equality as a principal or significant objective were associated with US$6,837.27 million in climate finance, equal to 31.30% of all recorded commitments during 2000 to 2024. This included 1,168 financing records.

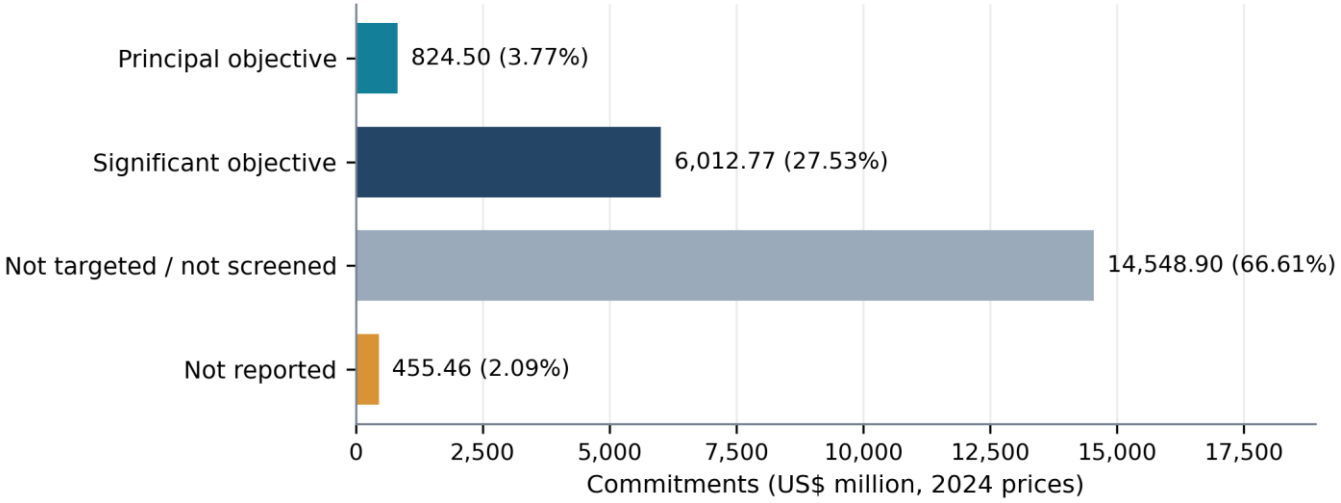


Figure 11a. Recorded commitments by gender-equality marker, 2000 to 2024.

Sectors containing gender-marked finance

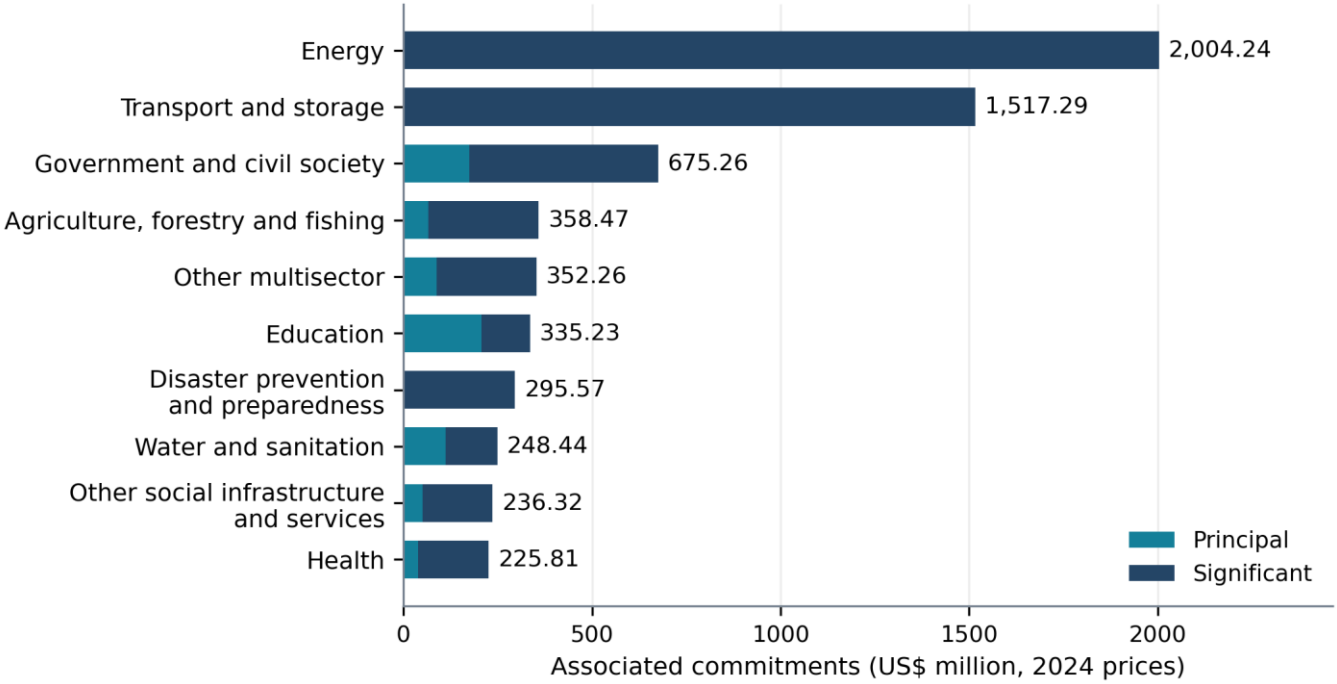


Figure 11b. Ten sectors with the largest associated gender-marked climate finance. Bars separate principal and significant objectives.

12. How much adaptation finance is committed per person in Pakistan each year, and how has that amount changed?

Adaptation finance per person increased over 2010 to 2024 but varied sharply between years. At constant 2024 prices, commitments rose from US$0.40 per person in 2010 to US$3.69 in 2024. The highest value was US$7.54 per person in 2022.

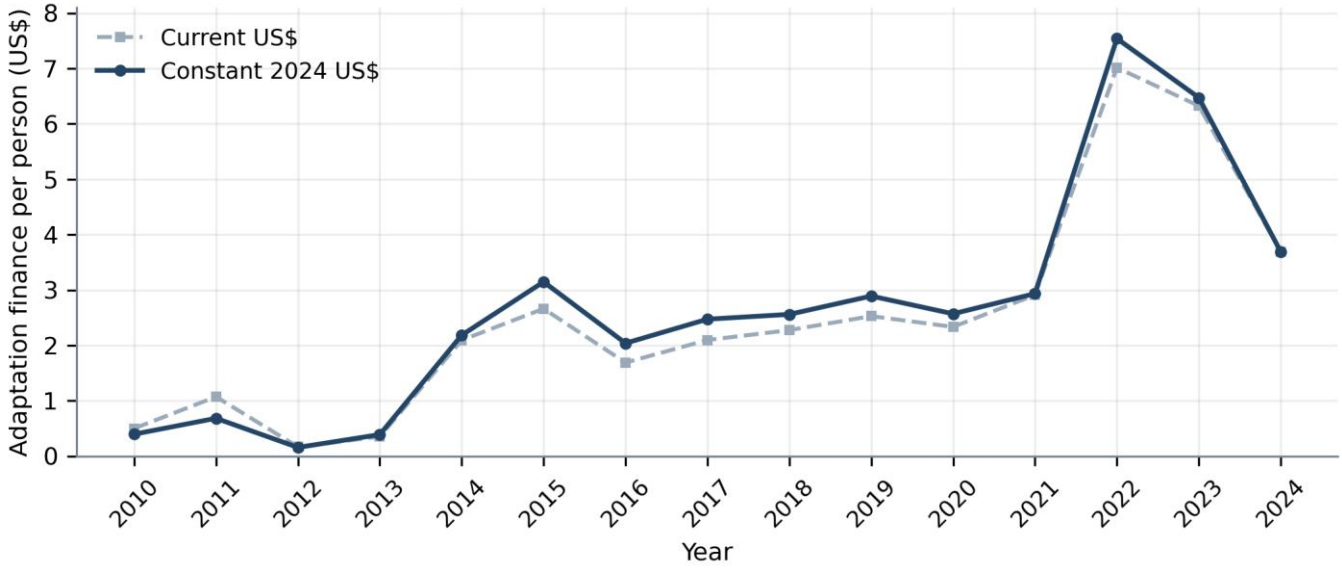


Figure 12. Annual adaptation commitments per person in current and constant 2024 US dollars, 2010 to 2024.

13. How large are annual adaptation finance commitments relative to Pakistan's GDP, and has their economic significance increased?

The approximate GDP share of annual adaptation commitments rose from 0.051% in 2010 to 0.250% in 2024. It reached its highest level, 0.465%, in 2023 before declining. Adaptation finance therefore became larger relative to the economy over the full period, although the increase was not sustained in every year.

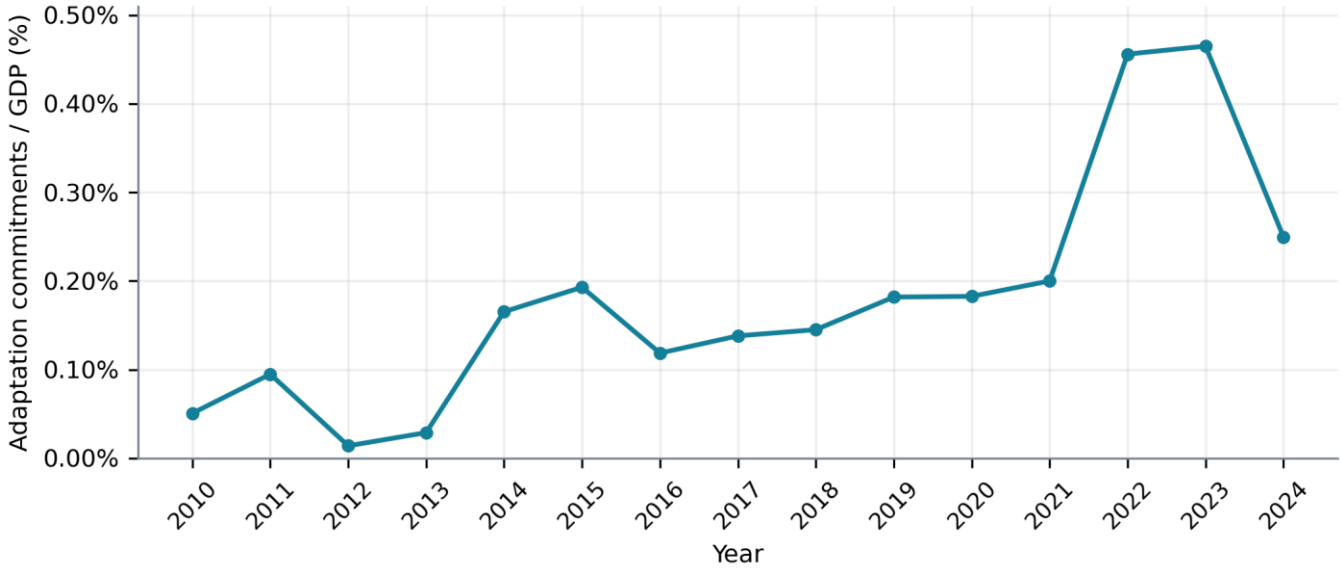


Figure 13. Current-dollar adaptation commitments divided by current-dollar GDP, 2010 to 2024.